



establishing a foundation for ecosystem development.

India can become a global hub for fabless semiconductor innovation by aligning talent, strategic initiatives, and governmental support. We are at the starting line of this journey, and with sustained effort, we have the potential to achieve remarkable growth, transforming India into a significant player in the global semiconductor industry.

How has SFAL contributed to programmes like DLI and C2S?

SFAL has provided key inputs to initiatives like the Design Linked Incentive (DLI) programme. Many companies selected under DLI are part of SFAL's portfolio, reflecting our active role in shaping these programmes. Our contributions, alongside inputs from industry partners and organisations like the India Electronics and Semiconductor Association (IESA), have been instrumental in their success.

The Chips to Startup (C2S) programme extends beyond tool provisioning. While CDAC manages tools, financial reimbursements (up to ₹150 million) follow rigorous approval processes. SFAL remains focused on enabling the ecosystem and supporting startups, ensuring resources are used effectively.

With SFAL deeply involved in the fabless semiconductor ecosystem, why is CDAC the implementation partner for the DLI scheme? Wouldn't a public-private partnership model have been more efficient?

CDAC (Centre for Development of Advanced Computing) serves as the implementation partner, a role for which they are well-suited due to their expertise in computing and related domains. We focus on business-oriented objectives, leaving the technical implementation to capable partners like CDAC.

While occasional challenges arise, CDAC is fully capable of managing implementation efficiently. The governing council makes decisions on critical matters, such as tool selection, with significant input from SFAL. However, we deliberately refrain from direct involvement in implementation to maintain focus on our primary goals—supporting startups and assisting the government in ensuring overall success.

Could you explain SFAL's business model?

SFAL is independently governed by its council members. Given the high costs associated with tools and other activities, sustained support is essential. Most activities executed by startups follow structured models—either through an equity-based approach, where we take a stake in startups, or via a pay-and-use model for tools.

As startups mature and scale, they exit our equity holdings, providing returns to SFAL. When we support startups in their investment activities, our approach varies based on their maturity stage and specific strategies. In such cases, we may take a portion of the returns, similar to any investment model.

While this revenue sustains SFAL's operations, the broader environment for fabless activities requires significant government backing. We also receive funding from the government of Karnataka.

How do you measure the success of SFAL?

So far, nearly five companies have been selected for DLI, three—including Morphing Machines—have secured funding, and two have exited SFAL and are performing well. For instance, Lightspeed AI, one of our companies, relocated to Singapore and excelled in photonics and optoelectronics.

While SFAL is currently based in Bengaluru, are there plans to expand and support the semiconductor ecosystem across the country?

SFAL collaborates with state governments to replicate successful models across various regions. A regional focus allows us to leverage local strengths, and establishing zonal centres of excellence in key domains is vital for a mature ecosystem:

Automotive. Prioritised in states like Uttar Pradesh and Karnataka

RF and power electronics.

Suitable for Odisha

Cutting-edge communication and processing. Key focus areas in Gujarat and Andhra Pradesh

Bengaluru has made significant progress, but other regions are still in the early stages, requiring substantial development to reach their full potential.

What areas need more government or industry intervention to strengthen India's fabless ecosystem?

The government has been very supportive, but one area that requires attention is the DLI programme's reimbursement process. Structuring this funding as a grant or through an alternative mechanism would be more beneficial for startups. This feedback has already been communicated, and we are confident adjustments are being considered.

We are now moving towards an IP-centric stage, aiming to involve the local industry actively. This includes developing and utilising IP locally to support startups, ensuring a stronger foundation for IP-driven growth. **EFY**

This interview is an excerpt of a longer discussion. For the full transcript, please visit: <https://qr-codes.io/0dbS2x>

